

GNIOT Institute of Management Studies – PGDM (Batch 2022-24)**(TRIMESTER –IV) END TERM EXAMINATION, OCTOBER-2023****FINANCIAL DERIVATIVES****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 70]**

[**BL** – Bloom's Taxonomy Levels (1- Remembering, 2- Understanding, 3 – Applying, 4 – Analysing, 5 – Evaluating, 6 - Creating)
CO – Course Outcomes]

Following are the course outcomes of the subject: FINANCIAL DERIVATIVES

CO	Course Outcome (CO)
CO1	Understand the Fundamentals of Financial Derivatives and its Role in Reducing Risk
CO2	Understand the Various Products in Derivatives Markets
CO3	Analyse and Apply Derivatives Strategies

*(Note- Faculty can add the more CO's as per their subject.)***SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)**

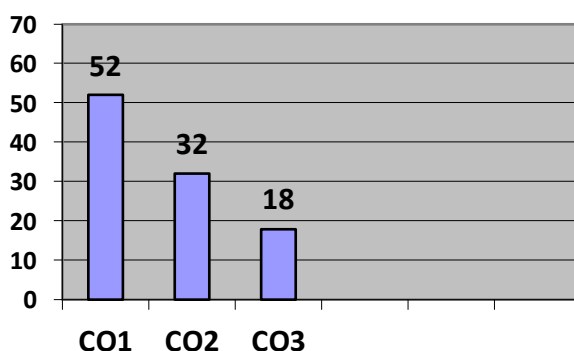
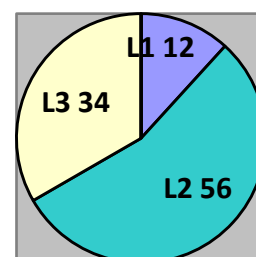
Q.1	Marks	CO	BL
A	4	CO - 1	L - 1
B	4	CO - 1	L - 1
C	4	CO - 1	L - 2
D	4	CO - 1	L - 1
E	4	CO - 1	L - 2

SECTION-B**Attempt any 3 questions out of the following: (Long Answer Type Questions)**

Q. No	Marks	CO	BL
2 (A)	8	CO - 2	L - 2
2 (A)	8	CO - 2	L - 2
2 (B)	8	CO - 2	L - 3
2 (B)	8	CO - 2	L - 3
3 (A)	8	CO - 1	L - 2
3 (A)	8	CO - 1	L - 2
3 (B)	8	CO - 1	L - 2
3 (B)	8	CO - 1	L - 2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical)**

Question	Marks	CO	BL
4 (A)	9	CO - 3	L - 3
4 (B)	9	CO - 3	L - 3

Course Outcome Wise Marks Distribution**Bloom's Level wise Marks Distribution****Bloom's Level wise Marks Distribution**

Moderated By

Head- IQAC

Dean - Examinations

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GNIOT Institute of Management Studies – PGDM (Batch 2022-24)
(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2023
FINANCIAL DERIVATIVES

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 70]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) “Derivatives are primarily a tool for Hedging. It is not meant for Speculation.” Give your opinion with suitable example.
- (b) Briefly explain the Interest Rate Swaps.
- (c) Determine the forward price for an asset that provides no income.
- (d) Illustrate the Forward Rate Agreement with diagram and briefly explain it.
- (e) Prepare the profit/loss profile of Bull Spread strategy using Call Options.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×8=32)

Q.2. (a) Briefly explain the various types of swaps with suitable examples.

OR

- (a) Discuss the salient features of a Futures contract with examples.
- (b) Suppose that you enter in a 6-month forward contract on a non-dividend paying stock when the stock price is Rs. 30 and the risk-free interest rate (with continuous compounding) is 12% per annum. Compute the 6-month forward price.

OR

(b) The zero rates for year 1 and 2 are as follows:

Period	1	2
Spot rate (%)	10	11

Suggest the quote for $F_{1 \times 2}$.

Q.3. (a) Distinguish between Futures and Forward contracts with suitable examples.

OR

- (a) Compare Options and Futures from hedging point of view. Give suitable examples.
- (b) Briefly explain the various types of swaps with suitable examples.

OR

(b) Discuss the salient features of a Futures contract.

SECTION-C

Q.4. Attempt all parts of the following:

(2×9=18)

(a) Rajesh buys a European call option with a strike price INR 450 and it costs him INR 9. He has shown his preference to hold it till maturity. He is looking for your advice in answering few queries which are as follows:

- (i) Under what circumstance will Rajesh make a profit?
- (ii) Under what circumstance should he exercise the option?
- (iii) Prepare a diagram for him illustrating how the profit/loss from a long position in the above option depends on the stock price at the maturity of the option.

3+2 +4 = 9 Marks

(b) Prepare the profit/loss profile of an investor who uses *Butterfly Spread Strategy using Call Options*.